TO: Board of Directors, Air Astana Group FROM: External Product Transformation Auditor (SVPG-Certified) DATE: 2026-01-27 SUBJECT: Diagnostic of Product Operating Model Maturity

1. Executive Summary

Status: IT Service Model (Feature Factory) Maturity Score: Low

Air Astana Group exhibits strong *business* performance (25.9% EBITDAR margin, 41 NPS) but operates its digital capabilities as a traditional **IT Cost Center**, not a **Product-Led Organization**.

Digital initiatives are managed as "projects" with fixed deadlines (e.g., "launch new app by H1 2025") rather than durable product teams solving customer problems. While the *airline* operation is world-class, the *digital product* engine is structured to serve the business rather than drive it. To secure the next phase of growth ("Going Global"), the Group must transition from "IT enabling the business" to "Product powering the business."

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2. Evidence of Feature Factory Behavior (Risks)

Dimension 1: Mercenaries vs. Missionaries

- **Observation:** The organizational structure separates "Commercial/Revenue Management" (Business) from "Digital and Information" (IT).
- **Evidence:** The "Chief Digital and Information Officer" role (Annual Report p. 115) largely oversees infrastructure and "digital transformation programmes" as a service provider to other departments.
- **Risk:** IT teams act as "Mercenaries" building features requested by stakeholders (e.g., "The T&R team collaborated... to develop a Flight Disruption course" AR p. 69), rather than "Missionaries" empowered to solve the underlying problem of disruption management autonomously.

Dimension 2: Project Funding vs. Product Funding

- **Observation:** Innovation is funded via annual budgeting and "major investment projects" rather than continuous product investment.
- **Evidence:** The Strategic Planning Committee approves "major investment projects" and the "Annual Budget" (AR p. 108). There is no evidence of funded "Product Teams" with ongoing budgets to iterate.
- **Risk:** This leads to "big bang" releases (e.g., "website launched in 2024", "new app in 2025") where value is delayed until the end of a long project cycle, increasing the risk of building the wrong thing.

Dimension 3: IT Cost Center Trap

- **Observation:** Technology is categorized essentially as an operational expense or support function.
- **Evidence:** IT is grouped with "communication costs" in Operating Expenses (AR p. 135) and framed as an efficiency lever ("Digitalisation will also help... saving paper" AR p. 31) rather than a value creator.

- **Risk:** Technology is viewed as a cost to be minimized, shrinking the ambition for digital innovation to mere "automation" rather than creating new value propositions.

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3. Strategic Disconnects

1. Output vs. Outcome Confusion

- **The Disconnect:** The Board tracks business *outcomes* (EBITDAR, Load Factor), but Digital is tracked by *outputs* (features delivered).
- **Evidence:** "2024 Highlights" (AR p. 35) lists "launch of the upgraded website" and "introduction of iJan" as successes.
- **The Fix:** Success should not be *launching* the website. Success should be *increasing booking conversion by 5%* or *reducing check-in queues by 20%* via the website.

2. The "Digital-First" Illusion

- **The Disconnect:** FlyArystan claims a "digital-first approach" (CMD p. 36), yet relies on "IT department volunteers" (AR p. 72) for ad-hoc initiatives.
- **The Fix:** True digital-first companies do not rely on IT volunteers; they have dedicated, cross-functional product squads (Product Manager + Designer + Engineers) obsessed with the customer funnel 24/7.

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4. The Prescription

To evolve from an **IT Service Provider** to a **Product Operating Model**, we recommend three immediate Board actions:

1. **Pilot the Product Model:**
    - Stop funding "projects" for the mobile app.
    - Create a durable **Mobile Product Team** funded for 12 months.
    - **Goal:** "Increase ancillaries revenue per mobile user," not "Deliver X features."
2. **Redefine the CDIO Role:**
    - Shift the mandate from "delivering IT infrastructure" to "solving customer problems through technology."
    - Empower the CDIO to define *what* to build, not just *how* to build it.
3. **Change the Scorecard:**
    - Remove "on-time delivery of IT projects" from executive KPIs.
    - Replace with product outcomes: **Conversion Rate**, **Retention**, **Time-to-Value**.

Signed, *External Product Transformation Auditor*